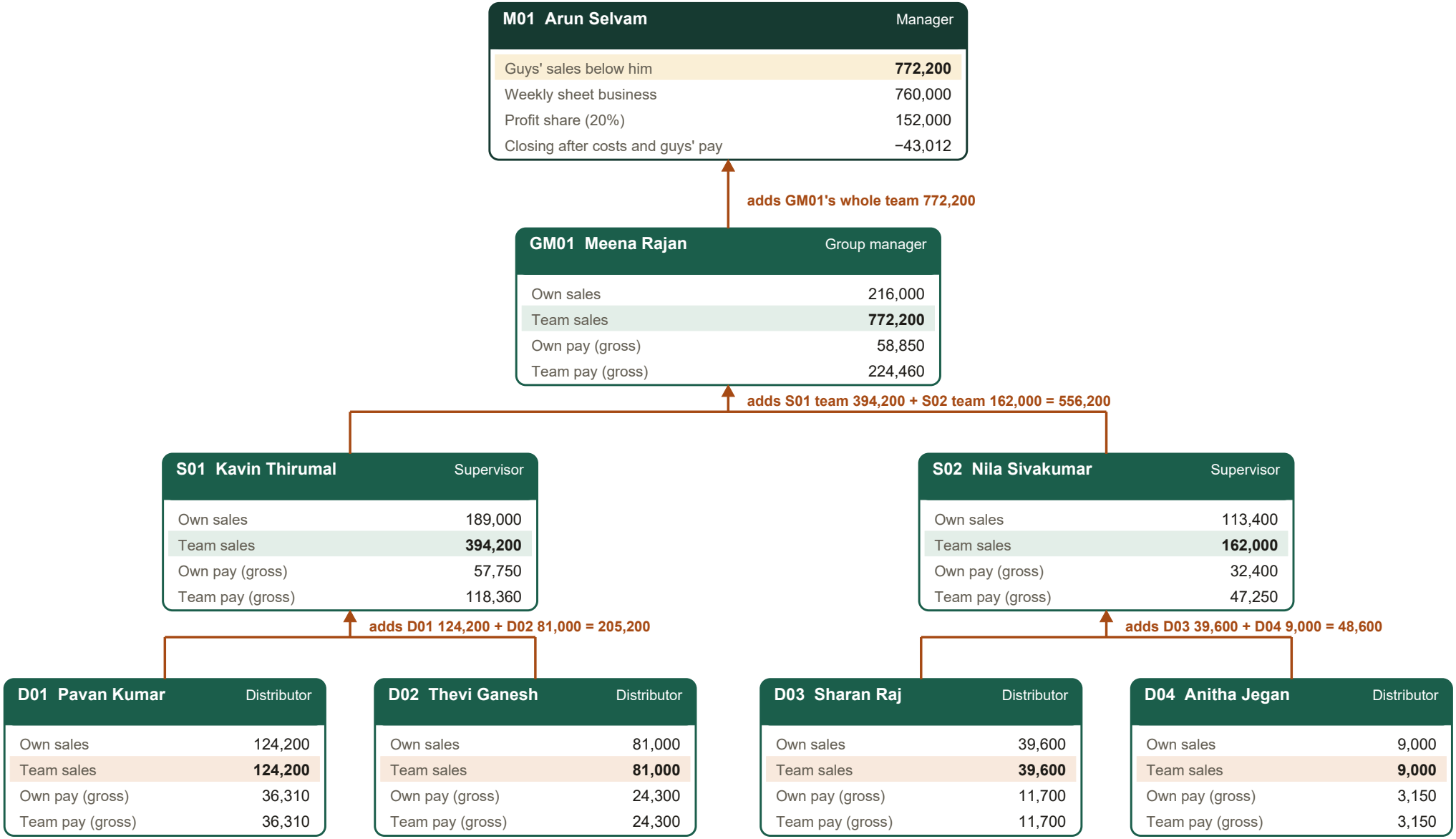
How sales and pay add up the chain

Each box shows one person's own sales and pay. **Team** figures add the person's own number to everyone below them. Follow the arrows up: the total of the people below is added to the level above.



All figures are Rs, from the trial run of one manager and seven people.

The numbers, level by level

Level	Person	Own sales	+ added from below	= Team sales	Own pay (gross)	+ added from below	= Team pay (gross)	Own net pay
Distributor	D01 Pavan Kumar	124,200	–	124,200	36,310	–	36,310	25,132
Distributor	D02 Thevi Ganesh	81,000	–	81,000	24,300	–	24,300	14,460
Distributor	D03 Sharan Raj	39,600	–	39,600	11,700	–	11,700	−6,864
Distributor	D04 Anitha Jegan	9,000	–	9,000	3,150	–	3,150	2,340
Supervisor	**S01 Kavin Thirumal**	**189,000**	**205,200 (D01 + D02)**	**394,200**	**57,750**	**60,610**	**118,360**	**40,740**
Supervisor	**S02 Nila Sivakumar**	**113,400**	**48,600 (D03 + D04)**	**162,000**	**32,400**	**14,850**	**47,250**	**22,194**
Group manager	**GM01 Meena Rajan**	**216,000**	**556,200 (S01 + S02 teams)**	**772,200**	**58,850**	**165,610**	**224,460**	**39,410**
Manager	**M01 Arun Selvam**	**0 (does not sell)**	**772,200 (GM01 team)**	**772,200**	**152,000 profit share**	**–**	**–**	**−43,012 closing**

What the system does today. Each person is paid from their **own** sales only. Nothing is added to a supervisor's or group manager's pay from the people below. The chain is used one way: the manager is charged the net pay of everyone below, **137,412** (39,410 + 40,740 + 22,194 + 25,132 + 14,460 − 6,864 + 2,340), and that is why Arun closes at −43,012.

A check worth adding. Arun's weekly sheets total **760,000**, but his people's daily sheets total **772,200**, a difference of 12,200. They are typed separately, as they were in Excel, and the system does not compare them. A warning when they differ by more than a small amount would catch a missed entry.

How a level could earn from the sales below it

Level	Example rate	If it counts everyone below	If it counts only direct reports
S01 Kavin	5% of sales below	205,200 x 5% = 10,260	10,260 (D01 and D02 are direct)
S02 Nila	5% of sales below	48,600 x 5% = 2,430	2,430
GM01 Meena	3% of sales below	556,200 x 3% = 16,686	S01 + S02 own sales 302,400 x 3% = 9,072
M01 Arun	2% of sales below	772,200 x 2% = 15,444	GM01 own sales 216,000 x 2% = 4,320

Example only. The rates above are placeholders to show how the totals flow. The owner has not confirmed any rate, and the system does not calculate team earnings yet. A third way the owner may mean: each level earns the *difference* between its own rate and the rate of the level below, for example 30% for a supervisor against 25% for a distributor, so 5% of the distributor's sales. Questions 2.1 to 2.7 in the owner questionnaire ask exactly which of these is correct.

All figures are Rs, from the trial run of one manager and seven people.